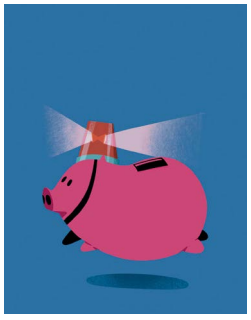
5 EMERGENCY FUND

Think of this as a cash reserve that is set aside specifically to manage unplanned expenses and financial emergencies. Emergencies and unplanned expenses include home repairs, loss of income, car battery replacement or a visit to meet parents due to unforeseen circumstances. While you may wish to borrow money to tide over emergencies, remember that these come at a cost. It is like a personal insurance you have created with your own funds to cover large and unanticipated expenses.

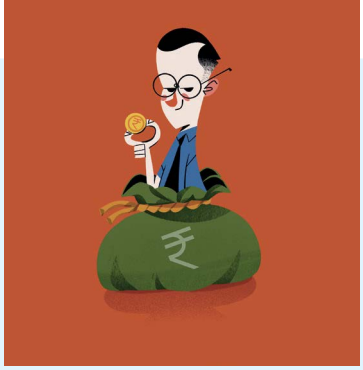


THUMB RULE Use the non-discretionary, that is, the essential expenses that you have at home as a base to arrive at the expenses that you can't do without. Now, multiply this figure by 6 to arrive at a reserve for expenses that you could tide over six months if you met with an emergency.

Monthly post-tax income: ₹95,000
Monthly non-discretionary expenses: ₹37,000
Emergency fund = ₹37,000 X 6 = ₹2.22 lakh

As your income and financial responsibilities go up, the quantum of emergency fund needed will go up. You can spread this sum across financial instruments that you can access to meet the emergency without facing delays.

6 NET WORTH



Mention the phrase net worth and images of the rich and famous crop up. But even you can calculate your net worth, and it's a good number for everyone to know. To find your net worth, you simply add up the value of your assets and subtract your liabilities at a given time to arrive at a snapshot of your financial worth. Net worth changes with time because the value of assets and liabilities keeps changing.

Knowing your net worth lets you understand your current financial situation. The net worth could be positive or negative. In an ideal situation, as you earn and save, your net worth will grow over time. So, if you have a low or negative net worth, you need to work towards increasing your savings and investments and check on spending to raise your net worth.

Liabilities are of two kinds—good and bad. For instance, borrowing to fund your education or purchasing a home is a positive debt. Chances are with a good education you will be able to increase your earnings and in the case of a house purchase, its value will go up over time making the debt to fund it a good choice. In contrast, a loan to fund a car or a phone is not good as the asset loses value soon after purchase.

THUMB RULE The formula for net worth, according to the book *The Next-Door Millionaire* can be arrived at by multiplying your age by your pre-tax annual household income from all sources (except inheritance) divided by 10. The Indian context works better when one divides the number by 20.

Age	Annual pre-tax income	Net worth
25	₹18 lakh	₹22.5 lakh
40	₹42 lakh	₹84 lakh
55	₹54 lakh	₹1.48 cr.

7 DEBT-TO-TOTAL ASSETS RATIO

At a time when borrowing seems to be the easiest way to achieve financial goals, families need to keep their overall debt under check. The debt-to-asset ratio is an indicator that can guide you towards a secure economic future. To arrive at this figure, start by adding up your total debts, including outstanding loans, credit card balances, and other financial obligations.

Next, sum up the value of your assets which should include savings, real estate, investments and any other valuables. Finally, divide your total debts by your total assets to arrive at the debt-to-asset ratio. This indicator depicts your financial health as it measures the portion of your assets that creditors own. A figure of more than 1 means that your debts are more than your assets. Generally, as you start repaying debts, your ratio goes down.



THUMB RULE A lower ratio indicates a healthier financial position, with more assets than liabilities. Conversely, a higher ratio suggests a potential imbalance, with debts outweighing assets. Your fiscal stability is tested by this ratio to weather financial storms and also achieve long-term financial goals.

Often debt-to-total assets ratio is highest in younger people and should decline as one ages, and the lower your ratio as you near retirement, the better. The quality of assets such as investments, savings, real estate and valuables significantly shapes the ratio. For instance, economic or external factors, such as inflation, interest rates and market volatility, can also influence this ratio as it plays a role in the value of assets as well as debts.